CIMA Management Case Study

Mock Exam 3

Cartn

Suggested Solutions

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This is so that when you review your own solutions against ours, you can see what you got right and what you got wrong. What you covered in enough depth and what you missed out.

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CIMA solutions

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Our solutions go above and beyond and are examples of answers which could earn top marks. We also provide mock debrief videos to help you improve your answers.

Task 1 - Solution

Sub-task (a) - 60%: Risks

1ai - Product reputation

The Fruitello recall demonstrates how a technical error in packaging design, such as an incorrect polyethylene specification, can lead to contamination and large-scale product failure. As Cartn provides advisory services to customers on packaging design and processes, a similar failure could directly damage its reputation in the market.

Compliance and safety

This risk is especially significant given that we operate in the food packaging industry, where safety and quality are paramount. Customers depend on our expertise to ensure that our packaging designs preserve product integrity and comply with stringent food safety and regulatory requirements. Any failure to meet these standards could lead to regulatory scrutiny, penalties, or product recalls affecting both Cartn and its customers.

Spread of reputation damage

Reputational damage could spread quickly, particularly across key sectors such as dairy and fruit juice, where product safety is highly sensitive. In addition, social media could amplify negative publicity far beyond traditional media coverage, making it significantly harder for us to control the narrative and protect our brand.

Financial implications

Reputational damage also has direct financial implications. It may lead to declining revenues, reduced market share, and increased costs associated with recalls, investigations, and compensation claims. In addition, Cartn may face difficulties obtaining or renewing professional indemnity insurance, or be subject to significantly higher premiums, further increasing financial pressure.

Competitive advantage and human capital

Our competitive advantage is closely linked to our reputation for innovation and reliability in packaging design and consultancy. A high-profile failure could weaken this positioning and allow competitors to capitalise on our difficulties to gain market share.

Finally, adverse publicity could undermine our ability to attract and retain skilled design and technical personnel, who are essential to delivering high quality advisory services. This is particularly significant given the specialised nature of packaging design, as well as the increasing emphasis on sustainability and innovation within the industry.

1aii - Contractual inadequacy

Supplier liability and accountability

If our supplier contracts are vague or incomplete, there may be uncertainty over who is responsible when a failure occurs. A key issue is the absence of clearly defined liability clauses. Without explicit terms, we may be held responsible for defects even where the root cause lies with suppliers, such as Corema Industries, or incorrect use by the customer. This creates the risk of costly legal disputes and compensation claims.

Our dependence on key suppliers heightens this risk. Without clearly defined supplier responsibilities and quality standards, we may bear the consequences of failures originating upstream in the supply chain. By including audit rights in supplier contracts, we would be able to monitor supplier compliance and reduce the likelihood of defects.

Customer disputes

Weak contractual terms can also lead to disputes with customers. Without clearly defined dispute-resolution mechanisms, disagreements may escalate into litigation, which is costly, time-consuming, and damaging to business relationships.

Clarity of advisory & manufacturing roles

When providing design and advisory services, we must clearly disclose our role so customers understand whether we are solely providing advisory services or also manufacturing the packaging. Where Cartn is not the manufacturer, customers need to pay close attention to the specifications and quality of the packaging provided. Even when Cartn is manufacturing, operational errors, cost-cutting, or miscommunication with customers could still affect product quality.

Ultimately, the risk of contractual inadequacy works both ways: unclear terms can expose us to liability from suppliers or customers. Clear, comprehensive agreements are therefore essential to protect all parties and minimise legal, financial, and operational exposure.

Sub-task (b) - 40%: Negotiations

1bi - Negotiations

We should adopt a structured negotiation approach when renegotiating terms with Corema Industries.

Preparation

Before entering negotiations, we should clearly identify our key objectives. In light of the risks highlighted by the Fruitello recall, priority should be given to strengthening liability clauses and ensuring detailed material specifications, particularly for polyethylene used in food packaging.

We should also assess our current reliance on Corema and consider alternative suppliers to improve our bargaining position. Understanding Corema's objectives, particularly its desire to revise pricing and supply volumes, will allow us to anticipate Corema's position and develop a more balanced and informed negotiation strategy.

Negotiation and discussion

During negotiations, Cartn should prioritise establishing specific, measurable terms. This includes defining material specifications, delivery schedules, and quality standards. We should also establish warranties or indemnities for defective materials, and clarify liability in the event of product failure or failure to meet order expectations. The Fruitello incident illustrates why these protections are essential.

Bargaining and trade-offs

Cartn should leverage its understanding of Corema's priorities to negotiate effectively, aligning incentives to create mutual benefit. By framing discussions around shared advantages, we could encourage Corema to adopt terms that protect both parties and support a collaborative approach to quality and delivery.

While Corema may seek higher prices or revised volumes, we could offer concessions such as longer-term purchase commitments or stable demand in exchange for stronger quality guarantees, enhanced testing procedures, and clearer liability terms.

Agreement and implementation

Once terms are agreed, they should be clearly documented in a formal contract with precise wording to avoid ambiguity. Performance measures identified during negotiations (such as material specifications, delivery expectations, quality standards) should be included along with monitoring mechanisms.

The contract should also include exit clauses, allowing Cartn to terminate the agreement in the event of repeated quality failures or non-compliance with agreed terms.

Relationship management

As Corema is a major supplier, maintaining a collaborative partnership is essential. The aim is to create a win-win situation that balances our objectives with Corema's priorities. This can be achieved through regular communication, joint performance reviews, and proactive planning to address potential quality, delivery, or regulatory issues.

Clear escalation procedures should be established so that any problems are resolved quickly and constructively, minimising disruption and protecting the relationship.

Task 2 - Solution

Sub-task (a) - 40%: Disruptive technology

2ai - Arguments in favour

Workflow transformation and efficiency

HoloScan has the potential to disrupt the packaging industry by allowing design and technical teams to identify potential flaws before physical prototypes or production trials. Traditionally, errors are often discovered late, requiring costly and time-consuming corrections. Early digital detection could reduce reliance on physical prototyping, potentially changing the standard workflow across the industry.

Technical benchmarking and material integrity

By simulating how different material layers perform, HoloScan ensures that specifications are technically sound. For example, it can test how varying material grades interact with different carton layer thicknesses, helping prevent structural or safety issues. If widely adopted, this capability could set a higher technical benchmark for packaging design, prompting competitors to adopt similar digital tools.

Evolving the consultancy value proposition

HoloScan also provides customers with 3D holographic visualisations, enabling collaborative review and refinement of designs. Customers can request modifications or test alternative options directly within the simulation, which could transform the traditional client-consultant interaction model into a more interactive, iterative process.

Strategic differentiation and market leadership

Adopting HoloScan positions Cartn as an innovative leader in packaging design and consultancy. By leveraging advanced technology to minimise errors, the company would differentiate itself from competitors and signal to both customers and regulators that it prioritises quality, safety, and proactive risk management. We could potentially influence broader industry practices and standards.

2aii - Arguments against

Barriers to entry and adoption costs

Despite its potential, HoloScan may not be disruptive if adoption is limited. Implementing the technology requires substantial investment in hardware, software, and staff training, as well as ongoing maintenance and integration into existing workflows. Smaller companies or traditional manufacturers may find these costs prohibitive, limiting the technology's industry-wide impact.

Change management and cultural resistance

HoloScan represents a fundamentally different approach to visualising and testing designs, which could meet resistance from staff accustomed to conventional processes. This could slow productivity temporarily and reduce confidence in the technology during early adoption.

Industry-specific uncertainty and "proven-tech" risk

Since HoloScan is new to food packaging, there is also limited evidence of HoloScan's effectiveness in the food packaging sector, with few comparable case studies available. There is also a risk that initial assumptions about efficiency gains or error reduction may not be fully realised.

Operational dependency and system integration

Reliance on HoloScan as a single technology for critical design decisions could introduce risks like technical issues, software bugs, or system downtime. Integration with existing CAD systems and workflows may create operational bottlenecks if not carefully managed.

Consequently, while HoloScan has clear disruptive potential, its impact on the broader industry depends on adoption rates, cost-effectiveness, and successful integration with existing design practices.

Sub-task (b) - 60%: Non-financial performance indicators (NFPIs)

2bi - Customer and market impact

Competitiveness

HoloScan has the potential to strengthen our competitive position by differentiating our advisory services in a market where design reliability is critical. NFPIs could include the number of new customers won, success rates in tenders, or customer retention levels where HoloScan is used.

This is particularly relevant given increasing industry scrutiny following high-profile failures such as the Fruitello recall, where customers may prioritise suppliers with stronger design assurance capabilities.

By being an early adopter, Cartn can also gain a first-mover advantage. NFPIs such as the proportion of customers choosing HoloScan-enabled services or the success rate of projects using the technology reflect the competitive edge achieved through innovative design leadership.

Customer satisfaction

HoloScan enhances collaboration by allowing customers to visualise designs in 3D and engage more effectively in the design process. It also enables customers to test and refine designs iteratively before committing to mass producing, ensuring specifications are fully validated before production begins.

NFPIs could include customer satisfaction scores, the proportion of designs approved without modification, and feedback on the clarity of communication. Improved performance in these measures would indicate stronger customer relationships and increased confidence in our advisory services.

2bii - Operational performance

Productivity

A key benefit of HoloScan is improved efficiency in the design process. NFPIs should measure the time taken from initial concept to final approval, as well as the number of design iterations required before a specification is finalised. These indicators help assess whether HoloScan reduces delays caused by miscommunication or unclear specifications.

By enabling consultants to identify and resolve issues at an early stage through holographic simulation, HoloScan should reduce reliance on physical prototyping and minimise rework. This is particularly important given that late-stage design errors can result in significant delays, additional costs, and reputational damage.

Quality

NFPIs could include the number of potential design issues flagged during simulation, such as mismatched material layers or incorrect specifications, as well as the proportion of designs approved after the first simulation. This approach captures the value of early error detection without relying on rare actual failures.

A reduction in iterations or flagged issues would indicate that HoloScan is strengthening quality control and reducing the likelihood of costly production errors or recalls, linking directly to the risks highlighted by the Fruitello incident.

2biii - Long-term development

Personnel

The success of HoloScan depends on how effectively employees adopt and integrate it into their work. NFPIs should track staff training completion, utilisation rates across projects, and employee feedback on the system.

Given that our advisory services rely heavily on skilled design and technical consultants, high adoption rates would demonstrate that the technology is being embedded into core processes and contributing to sustained value creation. Low usage could indicate resistance or training gaps, highlighting areas requiring additional support.

Innovation

Measuring innovation is inherently challenging because its value is often intangible and may only become apparent over time. It is therefore important that NFPIs in this category are forward-looking and capture both the outputs of HoloScan-enabled innovation and its contribution to our long-term competitive positioning.

NFPIs in this category could track the number of new design solutions or packaging concepts generated using HoloScan, the speed at which innovative designs move from concept to customer approval, and contributions to intellectual property or proprietary methodologies that strengthen our competitive edge.

Task 3 - Solution

Sub-task (a) - 60%: Sources of funding

3ai - Sources of funding

Debt options

Under the debt option, we can choose between a variable interest rate loan at 4% or a fixed rate loan at 6%. The variable option is initially attractive due to its lower interest rate, which would reduce finance expenses and help maintain profitability in the short term. However, it exposes us to interest rate risk, as rates may increase over the five-year term, leading to higher and unpredictable finance costs.

In contrast, the fixed-rate loan provides certainty over interest payments, allowing for more reliable financial planning and reducing the risk of unexpected cost increases. However, the fixed rate is higher than the current variable rate, making it more expensive in the short term. Both options require monthly repayments secured against existing assets, reducing financial flexibility.

Although our current interest cover of 11.4 indicates that we can comfortably meet additional interest payments, taking on further debt would increase gearing from the current level of 28.5% to 29.2% and expose the company to more financial risk.

Equity

Equity finance, through a rights issue, avoids these risks by eliminating mandatory repayments and interest obligations, making it more suitable for an investment with uncertain outcomes. As the rights issue is offered on a pro-rata basis, existing shareholders can maintain their proportionate ownership, limiting dilution of control.

In addition, it would improve our gearing position and strengthen our financial stability. However, equity finance is generally considered more expensive than debt in the long run. It may also dilute earnings per share, reducing short-term shareholder returns.

Another key consideration is the impact of the funding choice on flexibility to invest in future growth opportunities. Debt financing, while potentially cheaper in the short term, commits the company to fixed repayments, which may constrain cash flow and limit the ability to respond to unexpected investment needs or market changes.

Equity financing, by contrast, preserves cash flow and provides a buffer for uncertainty, allowing Cartn to pursue additional innovation or expansion initiatives without the pressure of mandatory interest payments.

3aii - Recommendation

On balance, I would suggest that a rights issue is the most appropriate source of finance for the HoloScan investment.

Alignment with project lifecycle and returns

This is primarily because the investment is innovative and its benefits are likely to be realised over the long term, meaning that committing to fixed or variable debt repayments would expose us to unnecessary financial risk. The five-year repayment term of the loan may not align well with the timeline over which HoloScan's benefits are expected to materialise, creating a mismatch between cash outflows on debt servicing and cash inflows from the investment.

Mitigating the risks of innovative investment

It is also important to note that the benefits of HoloScan are somewhat uncertain, as the investment represents an enhancement to existing services rather than the launch of an entirely new service. While it is expected to improve quality, efficiency, and customer satisfaction, the financial and operational returns may be gradual and difficult to quantify initially. This uncertainty reinforces the need for a flexible financing approach that does not place undue pressure on cash flow.

Whilst we could service additional debt, the risk of increasing gearing is amplified by the uncertainty around the timing of HoloScan's returns. The absence of mandatory payments under a rights issue provides the flexibility needed to implement the technology without cash flow pressure.

Strategic signaling and market confidence

Furthermore, a rights issue signals to existing shareholders that the Board is committed to funding strategic investments responsibly, without overleveraging the business. This may support long-term shareholder confidence in the Cartn's management of innovation-led growth.

Since equity holders bear the final risk associated with investing, some shareholders may be hesitant to participate if they perceive HoloScan as a risky investment. This could make it challenging to raise the full amount through a rights issue, and the Board may need to communicate the rationale and long-term benefits to secure shareholder support.

Sub-task (b) - 40%: Ratio analysis

3bi - Ratios if financed by bank loans

Gearing

If the HoloScan investment is financed through a bank loan, our gearing ratio would increase from 28.5% to 29.2%. The loan principal remains the same whether a fixed or variable interest rate is chosen, so repayment obligations would be unchanged.

This shift indicates a higher level of financial risk, as a larger proportion of the company's capital structure would be tied to fixed repayments regardless of performance. Although we have successfully reduced our gearing from 31.4%, taking on additional debt would partially reverse this improvement, reducing some of the financial stability gains achieved in recent periods.

Interest cover

Interest cover, currently strong at 11.4, would fall because additional interest costs reduce the margin by which operating profit can cover finance expenses. However, given that the proposed borrowing of H$5 million is small relative to existing debt of H$154.3 million, the impact is likely to be limited in the short term.

The extent of the impact on interest cover will also depend on whether the loan is fixed or variable. A fixed rate would provide certainty over financing costs and allow us to plan more effectively, whereas a variable rate introduces uncertainty, as rising interest rates could further weaken interest cover over time.

ROCE

In terms of performance, return on capital employed (ROCE) may decline initially because the investment increases the capital base before the benefits of HoloScan are realised. It is important to recognise that HoloScan represents an enhancement to existing rather than a wholly new revenue-generating product. The efficiency gains, improved reliability, and customer collaboration benefits may therefore take time to materialise and may be difficult to quantify in the short term.

Liquidity

Liquidity would also be affected, as regular loan repayments create ongoing cash outflows. This could place pressure on working capital management, particularly if the investment does not generate immediate cash inflows.

3bii - Ratios if financed by equity

If the HoloScan investment is financed through a rights issue, the effect on our financial ratios reflects a shift towards a more conservative capital structure.

Gearing

Gearing would decrease to 28.3%, as the injection of equity increases the proportion of funding that does not require fixed repayments, reducing financial risk. This is particularly important for an innovative investment such as HoloScan, where returns are less predictable and may take time to materialise.

Interest cover

Interest cover would remain unchanged, as no additional interest is incurred, preserving the company's strong capacity to meet its financing obligations.

ROCE

However, this improved stability comes with trade-offs. ROCE may fall in the short term because the increase in equity raises the level of capital employed without an immediate increase in operating profit. This reflects a timing issue rather than poor performance, as the benefits of design accuracy and customer collaboration are likely to emerge gradually.

Liquidity

Liquidity is strengthened because the absence of mandatory repayments allows us to retain cash and focus on successfully implementing HoloScan, providing flexibility to manage the investment even if the benefits are incremental or take time to fully realise.

Task 4 - Solution

Sub-task (a) - 40%: Pricing

4ai - Benefits and drawbacks of bundled pricing

Benefits

A bundled approach allows Cartn to position HoloScan as an integral part of its consultancy service rather than an optional add-on. This is particularly important given that some customers may be unfamiliar with the technology and may question its relevance.

By incorporating the cost into the overall fee, attention shifts away from the price of the technology and towards the outcomes it achieves, such as improved design accuracy, fewer errors, and reduced need for costly redesigns during production. This supports a value-based pricing approach and reduces the likelihood of resistance from customers who may otherwise be reluctant to pay explicitly for a technology they do not fully understand.

Bundling also simplifies pricing by avoiding the need to separately calculate and justify HoloScan-related charges. This reduces the risk of disputes, ensures consistency across engagements, and supports the seamless integration of HoloScan into standard consultancy processes.

Drawbacks

Despite these advantages, bundled pricing reduces transparency, as customers may not clearly see what they are paying for. If fees increase without a clear explanation, this may lead to concerns about value for money, particularly where competitors continue to use traditional pricing structures.

In addition, some customers, especially those with tight budgets, may prefer greater flexibility and control over costs. An itemised approach allows them to decide whether to use HoloScan, making services more accessible and potentially supporting customer retention. It may also help demonstrate the specific value of the technology by making its cost more visible.

Customers may be subjective about HoloScan and perceive it as an optional add-on, choosing not to use it. This will limit its adoption and reduce the potential benefits in terms of improved design outcomes.

4aii - Recommendation

Overall, a bundled pricing approach is recommended. Treating HoloScan as an optional add-on could discourage adoption and undermine our goal of providing improved, error-free design outcomes while fully meeting client needs.

However, this approach should be supported by clear communication so that customers understand that higher fees reflect enhanced design capabilities and better outcomes. The proposed increase in consultancy fees to account for HoloScan would raise the hourly rate by approximately 12.5% ($50/$400) to 20% ($30/$150), depending on the complexity of the engagement and the seniority of the consultant.

Cartn should also consider flexibility for price-sensitive clients, such as selective discounts or phased adoption options, to encourage uptake without compromising relationships.

Additionally, bundling reinforces the perception of HoloScan as a standard part of our consultancy offering, helping to build long-term customer reliance on its enhanced design capabilities. Over time, this can strengthen our competitive position by increasing customer trust, reducing errors, and improving the overall quality of service delivery.

Sub-task (b) - 60%: Communication

4bi - Customer needs

Clarity and understanding

A primary need is clarity and understanding, as customers may not be familiar with the technology and may question its relevance to food packaging design. They will need to understand how HoloScan fits into the design process and how it improves outcomes compared to traditional methods.

Trust

Customers will also require trust and reassurance. The introduction of new technology may create uncertainty, especially for customers accustomed to established design approaches. They will want confidence that HoloScan is reliable and enhances, rather than complicates, the design process.

Value for money

Another important need is value for money. The proposed increase in consultancy fees of approximately 12.5% to 20% per hour may prompt customers to question whether the benefits justify the cost. Consultants should emphasise that HoloScan not only improves accuracy but also reduces the likelihood of expensive errors or rework, making the investment cost-effective in the long term.

More accurate and optimised designs may lead to higher quality or more complex packaging specifications, which could increase production costs, whether the packaging is manufactured by Cartn or by the customer themselves. Consultants should highlight the overall value delivered, including reduced rework, fewer errors, and better product quality, to show that the long-term advantages outweigh any short-term increase in fees.

Transparency

Transparency is essential, but this does not require itemising fees. Instead, customers should clearly understand the outcomes and benefits that the fee increase supports. By explaining that the increase reflects HoloScan's contribution to error prevention, Cartn can ensure customers perceive the pricing as fair and justified without making the process overly complex or breaking down individual cost components.

Risk-reduction

Risk reduction is another important aspect. By using HoloScan to identify potential design flaws early, We can demonstrate to customers that we are proactively managing the risk of errors or failures. This builds confidence in our consultancy services and positions the company as a trusted partner in high-stakes design projects.

Innovation and future-proofing

Finally, customers value innovation and future-proofing. Offering HoloScan as part of the standard consultancy package signals that Cartn invests in cutting-edge technology to deliver better outcomes. Over time, this approach can strengthen customer loyalty, encourage adoption of HoloScan-enabled services, and reinforce Cartn's reputation as a leader in design reliability and quality assurance.

4bii - Communication

To address these needs, consultants should adopt a clear, customer-focused approach when introducing HoloScan. It should be presented as an integrated enhancement to our standard design services, rather than as an optional add-on.

Focus on outcomes

The conversation should focus on outcomes that matter to customers (i.e. reliability, fewer errors, higher-quality products), rather than the technical mechanics of the technology. Live demonstrations, 3D simulations, and interactive walkthroughs can make these benefits tangible, showing exactly how HoloScan works.

Importantly, consultants should highlight that some benefits are inherently immeasurable, such as increased confidence in design accuracy, smoother collaboration, and reduced reputational risk. These advantages create long-term value beyond immediate cost savings.

Consistent and reassuring communication

Communication should be consistent across the board. All consultants should be trained so that messaging is clear and every customer receives the same understanding of HoloScan's purpose and benefits.

Additionally, consultants should reassure customers by sharing examples of successful HoloScan-enabled projects, emphasising how early error detection has prevented costly redesigns or delays. Framing the technology through real-world outcomes helps build trust and reduces any uncertainty about adopting new methods.

Cater to cautious customers

Finally, consultants can encourage gradual adoption for more cautious customers, for example by starting with a pilot project or trial simulation. It could be a small part of the customer's project, a single packaging line, or just a 3D simulation session to demonstrate HoloScan's capabilities. This helps provide hands-on experience with HoloScan's value and allows customers to see the benefits directly, making it easier to integrate the technology into future projects.

Marking Matrix

Task	Topic	Core activity	%	Marks	Total
1a	Risks	D	60	15	25
1b	Negotiations	E	40	10	
2a	Disruptive technology	A	40	10	25
2b	Non-financial performance indicators	C	60	15	
3a	Sources of funds	B	60	15	25
3b	Ratios	D	40	10	
4a	Pricing	A	40	10	25
4b	Communication	E	60	15	
					100

Marking guidance

Task 1		
(a)	D. Measure performance	60%
(b)	E. Manage internal and external stakeholders	40%

D. Measure performance		60%
1ai - Identify and evaluate the risks to Cartn arising from product/service reputation in relation to its design and advisory services.		8 marks
	No rewardable material	0
Level 1	Explains a limited range of product/service reputation risks associated with the situation, and the explanations lack depth and clarity	1-2
Level 2	Explains some product/service reputation risks associated with the situation, with reasonable depth and clarity	3-5
Level 3	Explains a wide range of product/service reputation risks associated with the situation, with depth and clarity	6-8
1aii - Identify and evaluate the risks to Cartn arising from contractual inadequacy in relation to its design and advisory services.		7 marks

	No rewardable material	0
Level 1	Explains a limited range of contractual inadequacy risks associated with the situation, and the explanations lack depth and clarity	1-2
Level 2	Explains some contractual inadequacy risks associated with the situation, with reasonable depth and clarity	3-4
Level 3	Explains a wide range of contractual inadequacy risks associated with the situation, with depth and clarity	5-7

E. Manage internal and external stakeholders		**40%**
1bi - Recommend with reasons the approach the company could take to renegotiate terms with one of our major suppliers.		**10 marks**
	No rewardable material	0
Level 1	Discusses the general stages of the negotiation process and identifies the aim of the negotiation process	1-3
Level 2	Discusses the general stages of the negotiation process, identifies the aim of the negotiation process and discusses the approach the company should take	4-6
Level 3	Discusses the general stages of the negotiation process , identifies the aim of the negotiation process and discusses the approach the company should take with clarity and depth	7-10

Task 2		
(a)	A. Evaluate opportunities to add value	40%
(b)	C. Manage performance and costs to create sustainable value	60%

A. Evaluate opportunities to add value		40%
2ai - Evaluate the arguments for HoloScan as a disruptive technology.		5 marks
	No rewardable material	0
Level 1	Describes disruptive technology	1
Level 2	Offers arguments in favour	2-3
Level 3	Offers arguments in favour with justification and application	4-5
2aii - Evaluate the arguments against HoloScan as a disruptive technology.		5 marks
	No rewardable material	0
Level 1	Describes non-disruptive technology	1
Level 2	Offers arguments against	2-3

Level 3	Offers arguments against with justification and application	4-5

C. Manage performance and costs to create sustainable value		60%
2bi - Explain the key considerations when developing non-financial performance indicators to assess the value generated by the proposed HoloScan investment, focusing on CUSTOMER AND MARKET IMPACT		5 marks
	No rewardable material	0
Level 1	Describes the relevance of non-financial performance indicators	1
Level 2	Offers a full discussion of relevant non-financial performance indicators	2-3
Level 3	Offers a full discussion of relevant non-financial factors, with good justification for the points raised	4-5
2bii - Explain the key considerations when developing non-financial performance indicators to assess the value generated by the proposed HoloScan investment, focusing on OPERATIONAL PERFORMANCE		5 marks
	No rewardable material	0
Level 1	Describes the relevance of non-financial performance indicators	1

Level 2	Offers a full discussion of relevant non-financial performance indicators	2-3
Level 3	Offers a full discussion of relevant non-financial factors, with good justification for the points raised	4-5
2biii - Explain the key considerations when developing non-financial performance indicators to assess the value generated by the proposed HoloScan investment, focusing on LONG-TERM DEVELOPMENT		**5 marks**
	No rewardable material	0
Level 1	Describes the relevance of non-financial performance indicators	1
Level 2	Offers a full discussion of relevant non-financial performance indicators	2-3
Level 3	Offers a full discussion of relevant non-financial factors, with good justification for the points raised	4-5

Task 3		
(a)	B. Implement senior management decisions	60%
(b)	D. Measure performance	40%

B. Implement senior management decisions		60%
3ai - Identify the characteristics of debt and equity that affect their suitability for the funding of the HoloScan investment and recommend the more suitable source of funds, stating reasons.		8 marks
	No rewardable material	0
Level 1	Gives a list of some characteristics of debt and equity with little depth	1-2
Level 2	Gives a list of some characteristics of debt and equity which are explained in depth and somewhat applied.	3-5
Level 3	Gives a wide range of characteristics of debt and equity which are explained fully and applied.	6-8
3aii -Recommend the more suitable source of funds, stating reasons.		7 marks
	No rewardable material	0

Level 1	Offers a limited justification for the recommended type of finance	1-2
Level 2	Offers a justification for the recommended type of finance	3-4
Level 3	Offers full and logical justification for the recommended type of finance	5-7

D. Measure performance		**40%**
3bi - Evaluate how the funding the investment by debt will affect key accounting ratios.		**5 marks**
	No rewardable material	0
Level 1	Identifies key ratios that will be affected	1
Level 2	Identifies key ratios and explains direction of change	2-3
Level 3	Identifies key ratios, and explains direction of change and impact on interpretation	4-5
3bii - Evaluate how the funding the investment by equity will affect key accounting ratios.		**5 marks**
	No rewardable material	0
Level 1	Identifies key ratios that will be affected	1

Level 2	Identifies key ratios and explains direction of change	2-3
Level 3	Identifies key ratios, and explains direction of change and impact on interpretation	4-5

Task 4		
(a)	A. Evaluate opportunities to add value	40%
(b)	E. Manage internal and external stakeholders	60%

A. Evaluate opportunities to add value		**40%**
4ai - Evaluate the benefits and drawbacks of bundled pricing		**6 marks**
	No rewardable material	0
Level 1	Offers a limited explanation of bundled pricing	1-2
Level 2	Provides several benefits and drawbacks of bundled pricing	3-4
Level 3	Provides several clear benefits and drawbacks of bundled pricing with clear application	5-6
4aii - Recommend the approach that should be taken to price consulting services after the implementation of HoloScan.		**4 marks**

	No rewardable material	0
Level 1	A recommendation provided with little to no justification	1
Level 2	A clear recommendation provided with some justification	2
Level 3	A clear recommendation provided with strong justification	3-4

E. Manage internal and external stakeholders		**60%**
4bi - Identify customer needs		**8 marks**
	No rewardable material	0
Level 1	Lists customer needs	1-2
Level 2	Identifies customer needs with explanation	3-5
Level 3	Identifies customer needs with in-depth explanation	6-8
4bii - Recommend how consultants should communicate to customers the decision to use HoloScan in design consultations, including any associated additional costs.		**7 marks**
	No rewardable material	0

Level 1	Explains at least one communication strategy but there is little reference to the scenario. Explanations lack clarity or depth.	1-2
Level 2	Explains at least 2 or more communication strategies with reference to the scenario. Explanations show some clarity and depth.	3-4
Level 3	Explains a range of communication strategies with reference to the scenario. Explanations are clear and in-depth.	5-7